CHAPTER THREE

EARNING RECOGNITION

The ‘Ideation Factory’

In January 1978, Ratan was a few days into his forty-first year. He had already spent more than a decade and a half with the Tata Group in various capacities. He was now seven years older than JRD when the latter had taken over as chairman, Tata Sons.

Over the years, Ratan had gained considerable knowledge about the group’s functioning. He had observed a tendency among the companies to behave as if they were part of a loose confederation, with the central management having little or no influence over them. He found that the companies were functioning in silos of corporate excellence. Consequently, many of them engaged in competition with each other for business. ‘It created chaos in the market,’ comments Soonawala.

A keen learner with an astute perception of his surroundings, Ratan realized that this was a malaise that had set in. He had witnessed first-hand how the ‘powerful satraps’ were in virtual control of individual companies and substantially influenced Tata Sons’ decisions. He, however, was languishing at the ‘periphery of the Tata Group’.

The house that Jamsetji built had moved from ‘being a relatively cohesive entity into an assemblage of increasingly independent companies —what some Tata executives describe as fiefdoms’, wrote *The Asian Wall Street Journal*. Ratan concluded that the organization’s future lay in restructuring and giving it cohesion and a new direction. He got down to formulating a new Strategic Plan for the group.

But Ratan knew that bringing about changes would not be easy. The group had many stalwarts like Sumant Moolgaokar, Darbari Seth, Russi Mody and Ajit Kerkar who guarded their autonomy. He was convinced that